tent and connections at scale—which means that, at some point in its growth, every successful platform must address the challenge of effective curation. We'll return to the issue of curation in later chapters.

FOUR KINDS OF NETWORK EFFECTS

A two-sided network (i.e., one with both producers and consumers) has four kinds of network effects. It's important to understand and consider all four when designing and managing a platform.

In a two-sided market, *same-side effects* are network effects created by the impact of users from one side of the market on other users from the same side of the market—the effects that consumers have on other consumers and those that producers have on other producers. By contrast, *cross-side effects* are network effects created by the impact of users from one side of the market on users from the other side of the market—the effects that consumers have on producers and those that producers have on consumers. Both same-side effects and cross-side effects can be positive or negative, depending on the design of the system and the rules put in place. Here's how these four types of network effects work.

The first category, *positive same-side effects*, includes the positive benefits received by users when the number of users of the same kind increases—for example, the effect that arose as the number of subscribers to the Bell Telephone network grew. The more of your friends and neighbors who were accessible on "the Bell," the greater the value you received from your Bell membership. Today, a comparable positive effect on the consumer-to-consumer side can be seen with a gaming platform like the Xbox MMOG: the more fellow gamers you encounter on the platform, the greater the fun you experience when using it.

Positive same-side effects can also be found on the producer side. For example, consider Adobe's all-but-universal image production and sharing platform. The more people who are creating and sharing images using the PDF platform, the greater the benefit you